AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

MTA

2025-2026 / Summer Semester

6 – August – 2026

Version C

AOU EGYPT

umber of Exam Pages: 4 cluding this cover sheet)	Time Allowed: 2 Hours

tructions:

: **FIVE (5)** minutes to read all instructions carefully before attempting to write.
ile phones must be in "SWITCHED **OFF**" mode throughout the examination.
is a ***CLOSED*** book examination. NO documents of any kind are allowed.
MUST answer the questions using only the answer booklets provided.
MUST return the examination paper together with your answer booklets.
OT write your answers in pencil except for graphs/sketches.
nts are **NOT** allowed to use any type of dictionary or mobile phones during the examinati
nts are allowed to use ***non-programmable*** calculators only (if needed).
rm of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (20 marks)

ABC Ltd. is a manufacturing company that has recently started reducing pollution, improving employee welfare, and supporting local community projects to build a positive reputation and meet stakeholder expectations. Explain the concept of Corporate Social Responsibility (CSR) and discuss the four responsibilities in Carroll's (1991) CSR model with reference to the case.

Question 2 (30 marks)

a. Prime Auditors LLP has been engaged to provide assurance services for two clients. For one client, the auditors examined the annual financial statements and provided an opinion on whether the statements give a true and fair view. For another client, the auditors reviewed interim financial information and reported whether anything had come to their attention that suggested material misstatements. Describe the concepts of positive assurance and negative assurance, and explain how they differ using examples from the case.

(15 Marks)

b. A new company, Double Ltd, issued 30,000 £1.00 nominal value ordinary shares on 1 January 2024. The issue price was £1.50. An interim dividend of 5p per ordinary share for 2024 was proposed and paid during the year. On 31 December 20X1, the last day of the year, the company proposed a final ordinary dividend of 10p per share. This dividend was paid in January 2025 15,000 new ordinary shares were issued by Double Ltd on 1 February 2025 for £2.00 per share. The nominal value of these shares was £1.00 per share. An interim dividend of 5p per ordinary share for 2025 was proposed and paid in June 2025. The profit for the year ending 31 December 2024 was £300,000 and the profit for the year ending 31 December 2025 was £360,000. The company has a December year-end.

Required

Show the share capital, share premium, and retained earnings reserve sections of the statement of changes in equity for Double Ltd for the year ended 31 December 2024 and for the year ended 31 December 2025. (15 marks)

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Question 3 (20 marks)

A new company, Start Ltd, issues 18,000 ordinary shares with nominal value of £1 issued at a price of £8 and 45,000 preference shares with a nominal value of 50p, issued at a price of £3.50.

Required

i. Calculate the ordinary share capital and premium, and the preference share capital and premium for Start Ltd

ii. Show how the ordinary and preference share capital and ordinary and preference share premium are recorded in the equity section of the statement of financial position and in the statement of changes in equity for Start Ltd at the end of the first year of trading.

Question 4 (30 Marks)

Below is Brighton Ltd's unadjusted trial balance dated December 31, 2025.

Account name	Dr (£)	Cr (£)
Sales revenue		2,846,190
Inventory at 1 January 2025	189,810	
Purchases	681,000	
Distribution costs	282,600	
Administrative expenses	621,000	
Insurance expenses	270,000	
Rent expenses	234,000	
Office equipment	651,600	
Accumulated depreciation – office equipment		195,480
Vehicles	1,044,000	
Accumulated depreciation – vehicles		375,840
Intangible assets	429,300	
Trade receivables	747,000	
Allowance for receivables (1 Jan 2025)		40,950
Trade payables		1,111,050
Cash	1,129,650	
10% Bonds		297,000
Ordinary shares (£1 nominal value)		300,000
Ordinary share premium		39,000
Ordinary interim dividends paid	17,550	
Irredeemable preference shares (£1 nominal value)		600,000
10% Preference dividends paid	6000	
Retained earnings at 1 January 2025		498,000
Total	6,303,510	6,303,510

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The following notes are relevant:

1. Closing inventory at 31 December 2025 is £414,000.
2. Irrecoverable receivables to be written off amount to £18,000.
3. The allowance for receivables is to be set at 8% of net receivables at the financial year end.
4. Day Ltd depreciates non-current assets as follows:
   - office equipment at 15% per annum on a straight-line basis
   - vehicles at 20% per annum on a reducing-balance basis

   No depreciation has been charged for the year.
5. Rent expense is included in Day Ltd.'s trial balance covering the period 1 January 2025 to 31 October 2025. Rent payable for the period 1 November 2025 to 31 January 2026 is expected to be £36,000 and will be paid in January 2026.
6. Insurance expense relates to the period from 1 January 2025 to 31 March 2026.
7. Day Ltd allocates expenses as follows:
   - Depreciation on vehicles is allocated to distribution costs.
   - 80% of the rent expense is to be allocated to administrative expenses, and 20% of the rent expense is to be allocated to distribution costs.
   - all other expenses are to be included in administrative expenses.
8. For the financial year ended 31 December 2025, corporation tax is estimated to be £129,744
9. The audit fee relating to the year ended 31 December 2025 is estimated to be £37,800 and has not been paid at the year-end.
10. A full year's bond interest is to be accrued.
11. A provision of £72,000 is required for expenses relating to warranties which are likely to arise in 2026.
12. Impairment of £60,000 is to be accounted for in relation to the intangible asset during the year.

Required

1. Prepare a statement of financial performance for the year ended 31 December 2025
2. Prepare a statement of financial position as at 31 December 2025

[15 + 15 = 30 marks]

End of Questions

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